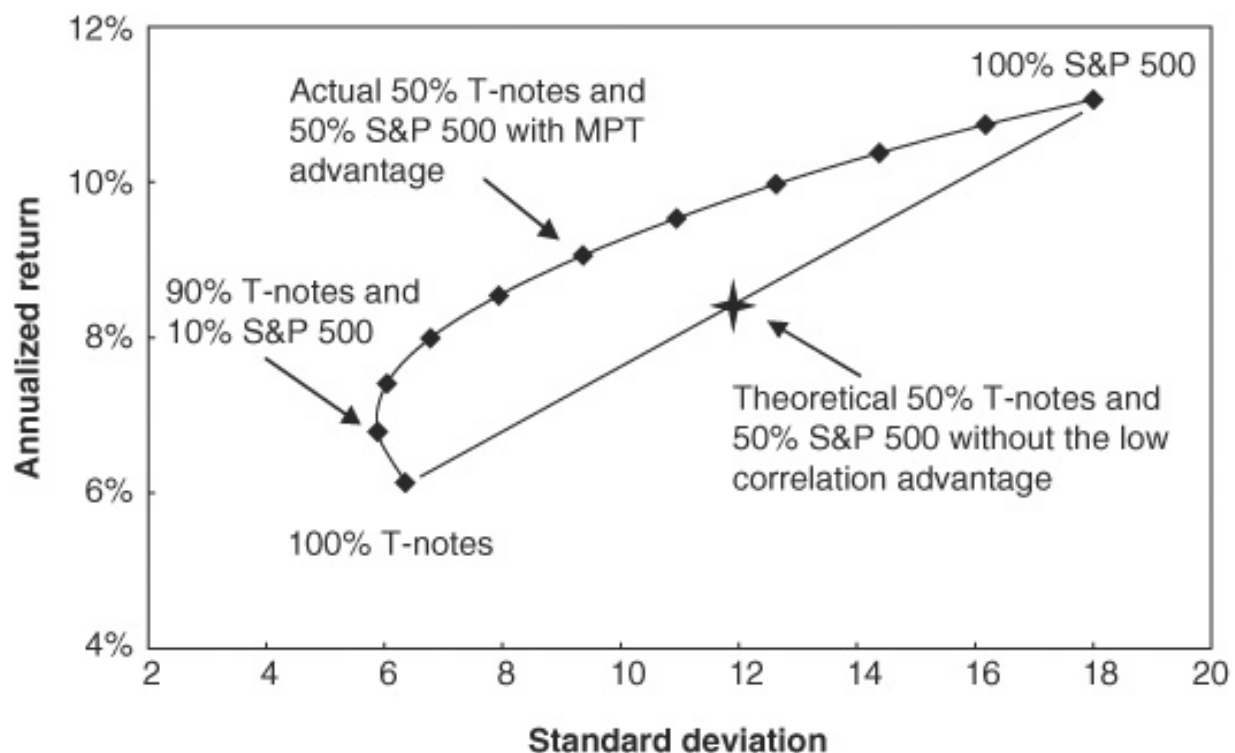


## Risk and Return by Decades, 1950–2009, Five-Year T-Notes and the S&P 500



**TABLE 3-3**

Portfolio Returns, 1950–2009

| Portfolio Characteristics                                          | Annualized Return | Risk (Standard Deviation) |
|--------------------------------------------------------------------|-------------------|---------------------------|
| 100% intermediate T-notes                                          | 6.1%              | 6.4%                      |
| 100% S&P 500                                                       | 11.4%             | 18.0%                     |
| Expected return and risk of 50% T-notes and 50% stock mix (no MPT) | 8.6%              | 12.2%                     |
| Actual return and risk of 50% T-notes and 50% stock mix            | 9.0%              | 9.3%                      |
| MPT advantage (higher return, lower risk)                          | +0.4%             | – 2.9%                    |